

Framework for regulation

- ❖ Legal frameworks Styles of regulation
- ❖ Styles of regulation
- ❖ Enforcement
- ❖ Funding and accountability
- ❖ Dangers of regulation (regulatory paralysis, regulatory capture, etc)



Regulation and the law

- ❖ Laws passed by governments define and enable the process of regulation.
- ❖ These laws appoint regulatory bodies and set their terms of reference.
- ❖ They define their objectives, operating principles and accountability, and confer on them powers to take actions.
- ❖ Laws that bear specifically on the telecommunications services industry include:



Regulation and the law

- sector-specific telecommunications law;
- competition and fair trading law;
- other relevant law,
 - for example concerning privacy, consumer protection and rights to build infrastructure.



Regulation and the law

- ❖ Laws are created by national legislatures.
- ❖ Regional law-making bodies, such as the ECOWAS, or international law-making bodies such as the World Trade Organization (WTO), may also enact relevant provisions.
- ❖ These laws, directives or agreements take force in member and signatory countries when they are transposed into national law.
 - Countries do this in accordance with treaty obligations.



Regulation and the law

- ❖ The function of regulation may be distributed between two or more separate bodies, for example:
 - a formally designated national regulatory authority;
 - government departments;
 - historically established bodies,
 - such as standards organizations and radio-communications agencies.



Regulation and the law

- ❖ Countries may further sub-divide their regulatory function into e.g. federal and state regulators.
- ❖ Regulators have to take account of stakeholder interests, which may be prescribed by law.
 - These include consumer bodies, industry bodies, local authorities and planning bodies.



Regulation and the law

- ❖ Specialist organizations also have interests where appropriate,
 - for example those having care for environmental conservation, national parks or areas of out-standing natural beauty.
- ❖ Standing advisory groups may be formed to gather necessary expertise and represent stakeholder interests.



Styles of Regulation

- ❖ Industry regulation may follow a number of differing styles
 - depending on the degree of intrusiveness in the day-to-day operation of regulated companies.
- ❖ The degree of intrusiveness in increasing order of severity, are listed below.
 - Zero regulation
 - Self-regulation
 - Co-regulation
 - Formal regulation, or external regulation



Zero regulation

- ❖ In industries with zero regulation (no regulation), market forces are allowed to work with no external intervention.
- ❖ Such industries are also said to be completely deregulated (i.e. regulation has been completely removed).
- ❖ In general, some form of regulation exists in the telecommunication sector,
 - However, governments may allow some sectors of the telecommunication industry to be completely deregulated for a period



Self-regulation

- ❖ Pure self-regulation applies when the players in an industry regulate themselves.
- ❖ For many, this might be their first choice, although smaller players may feel more comfortable when there is an overseeing watchdog.
- ❖ Self-regulation may be preferred by companies for some wrong reasons;
 - Companies pretend to care while in reality they want to look after themselves
 - Some companies with big business egos resent other agents no matter how valid their roles are.



Self-regulation

- ❖ Benefits of self-regulation include the following;
 - companies usually know their businesses better than an external regulator.
 - external regulation has costs that must ultimately be borne by the industry and its consumers. These costs are minimized the more the regulation is internalized.
 - an external regulator implies hazard, because a regulator is an additional agent player who can get things wrong.



Self-regulation

❖ Self-regulation is

- most effective when there is high convergence of interest between stakeholders.
- least effective when there are strong commercial conflicts.



Co-regulation

- ❖ Co-regulation is a hybrid option in an industry that has an external regulator, blends formal and self-regulation together.
- ❖ Instead of formally regulating from outside, the regulator joins the industry players to work with them, as a participant in a joint forum.
- ❖ The regulator may engage with a particular issue:
 - to confer authority on an industry initiative
 - to facilitate collaboration
 - to represent its position
 - to seed discussion



Co-regulation

- ❖ This may reduce the need for later intervention.
- ❖ While potentially very successful, co-regulation is vulnerable to role ambiguity and the differing player perceptions of what the others will do and will expect of them.



Formal regulation

- An external regulator such as a National Regulatory Authority may deploy any of the four models (formal regulation, co-regulation, self-regulation and zero regulation) in resolution of specific issues, and should choose in the interest of appropriateness and cost-effectiveness.



Intrusive Regulation

- ❖ Intrusive regulation takes place if the regulator intervenes often and minutely in the day-to-day running of a company's business.
- ❖ Regulation is less intrusive if the regulator lays down more general principles, leaving the company choices over its methods of meeting them.



Intrusive Regulation

- ❖ Examples of intrusive regulation would be the dictation of technical solutions:
 - mandating of service quality
 - control of several individual service prices or specification
 - of the amount of air conditioning an operators exchanges must have.



Intrusive Regulation

- ❖ Intrusion is undesirable for three reasons,
 - the regulator becomes a proxy manager of the industry, weakening the freedom of operators to run their businesses in the way they think best. It may not be able to bear this amount of responsibility.
 - a regulator may increase the dependence of the industry on its existence, the opposite of the aspiration to let competitive market forces rule.



Intrusive Regulation

- the more intrusive the regulation, the greater will be the cost of administering it
- ❖ A good regulator should seek to minimize intrusive regulation as far as possible.



Intrusive Regulation

- ❖ Intrusion can be lessened by the use of *ex-post* rules and by regulating price baskets instead of individual prices.
- ❖ Development of solutions by co-regulation and self-regulation reduces intrusion very effectively.
- ❖ Avoiding intrusive regulation does not imply that good regulation will have minimal impact on companies in the market.
- ❖ Regulation should be pervasive rather than intrusive, to allow operators to manage their affairs, as they know best but within the spirit of the regulation.



Instruments of Regulation

- ❖ Regulation is accomplished by means of instruments and processes.
- ❖ The main instruments of regulation include authorizations, rules, determinations, consents and guidelines.
- ❖ The instruments of regulation are backed by powers of enforcement and of investigation.
- ❖ They are subject to periodic or ad hoc review, and in many cases the law requires a process of consultation before draft instruments take effect.
- ❖ Regulatory actions are subject to a right of appeal, either to bodies specifically constituted for the purpose or, ultimately, to the courts.



Authorization

- ❖ Fundamental to any system of regulation is a system of authorization,
 - where an undertaking needs permission to participate in a regulated market.
- ❖ Embedded in primary legislation, the system of authorization contains **conditions**.
- ❖ These conditions are the rules the players in the market must abide by



Authorization

- ❖ Authorizations may be of two types:
 - specific authorizations (Individual operator licenses)
 - general authorizations (Class licenses)



License conditions, rules and orders

- ❖ The license conditions, rules and orders by which operators must abide
- contain a collection of obligations, prohibitions, conditional permissions and ex-post stipulations, that give effect to regulation.



Determinations and consents

- ❖ Determinations and Consents are instruments of ongoing regulation that are provided for in rules.
- ❖ Determinations in effect elaborate rules, and the regulator is permitted and sometimes obliged by the rules to make determinations.
- ❖ In some areas of regulation, e.g. in price control, determinations may be the principal medium by which regulation is enacted.



Determinations and consents

- ❖ A determination may
 - be generated at the regulators initiative
 - be requested by an authorized player
 - arise from a breach of a rule or license condition
 - follow an allegation of anti-competitive behavior



Determinations and consents

- ❖ Typical determinations include
 - the periodic review of price controls
 - the resolution of quality of service issues
 - the determination of the terms of trade between two operators who have failed to reach bilateral agreement.
- ❖ Determinations are usually anticipated in rules by clauses such as, ‘...as the Regulator shall determine,’ or, ‘unless the Regulator shall otherwise so determine.’



Determinations and consents

- ❖ A consent is a negative determination by which an authorized operator is formally relieved from the need to comply with a requirement
- ❖ Consents are typically anticipated by clauses such as, ‘unless the Regulator shall otherwise so consent’.
- ❖ Consents and determinations have equal power with the rules or license conditions themselves,
 - so breach of a determination or consent is equivalent to a breach of the governing rule.



Determinations and consents

- ❖ Like rule amendments, determinations and consents may be challenged and referred for review in the courts or by a general competition authority.
- ❖ Because they have legal force, determinations and consents are, drafted in legal language.



Guidelines

- ❖ Guidelines are informal documents that do not in themselves possess a legal status.
- ❖ They are usually presented in user-friendly language.
- ❖ They are important because they convey useful information.
- ❖ They have authority in the sense that they reveal the thought processes and criteria that may be brought to bear in deciding whether a breach of the rules has occurred.



Guidelines

- ❖ Guidelines might cover such things as
 - standards for presenting tariff information
 - an understanding of what is meant by 'reasonable interconnection' or technical interface standards.
- ❖ Self-regulation or co-regulation initiatives typically result in the issue of guidelines.



Consultation

- ❖ Regulators must consult widely in arriving at strategic policy, regulatory procedure, rule amendments and other instruments such as determinations and guidelines.
- ❖ The stages in a consultation typically include:
 - notification and invitations to contribute;
 - publication of consultation papers;



Consultation

- conduct of consultative meetings and consultations in writing, with iteration if necessary;
- issue of a memorandum to accompany the final legal instruments.
- ❖ Consultations give the industry both ownership and pre-knowledge of decisions.
- ❖ They enrich regulatory decision-making by involving the wide knowledge and experience of all those consulted.



Consultation

- ❖ Invitations to contribute may be issued as appropriate to stakeholder interests such as
 - government departments
 - authorized operators
 - consumer groups
 - regional representative bodies
 - generally to any member of the public who wishes to contribute



Consultation

- ❖ A requirement to consult various bodies may be enshrined in law and in rules.
- ❖ Consulted parties acquire no formal powers in the making of a decision
- However, a climate of transparency and openness makes it difficult for a regulator to ignore genuine inputs.



Judicial review

- ❖ The actions of a regulator are subject to appeal, either by
 - a body specifically appointed for the purpose
 - or by judicial review in the courts.
- ❖ An appeal may be,
 - on the grounds of law (illegality)
 - on the grounds of procedure (misadministration)
 - on the grounds of logic (irrationality)
 - or it may challenge the substance of the action.



Enforcement

- ❖ Regulators have a variety of powers at their disposal for dealing with rule breaches.
- ❖ These include
 - License revocation
 - Fines
 - Compliance orders (provisional orders or final orders)
 - Exposure to litigation for damages
 - Publication, 'naming and shaming'



Enforcement

- ❖ Concurrently they have policing powers to
 - search for, identify and investigate breaches and anti-competitive behaviors,
 - ✓ whether on their own initiative or in response to allegations and complaints.



Funding and accountability

- ❖ Governments assume primary responsibility for the funding of their national regulatory authorities (NRA) but usually pass this onto the industry in the form of fees.
- ❖ Government-appointed regulatory bodies must be accountable for their actions.
- ❖ Typically, NRAs answer either to a government ministry, or to the government or parliament in general.



Dangers Of Regulation And Operational Aspects

- Regulatory hazard
- Regulatory paralysis
- Skill requirements
- Information asymmetry: the knowledge gap
- Regulatory capture



Regulatory hazard

- Regulation carries fundamental powers over the regulated industry.
- This power is hazardous, as it can distort markets as well as benefit them.
- Regulatory power, if exercised inappropriately or unwisely, may wreak great damage on the industry and the user community it serves.
- It follows that regulatory actions must be subject to impact appraisal, and take due consideration of the likely or potential consequences that may follow from rulings.



Regulatory hazard

- ❖ Distortions are likely in the following circumstances.
 - The regulatory authority does not follow a market-analytic approach but adopts ad hoc though well-intentioned measures.
 - The regulatory authority is captured by a political desire to produce certain outcomes.
 - Governments may wish to retain control despite theoretical commitment to free markets.



Regulatory hazard

- The regulator neglects longer-term market development (for example, investment or growth of sustainable competition) in favour of popular short-term outcomes such as price reduction.
- Regulatory decisions are subject to industry lobbying and political bargaining processes.



Regulatory paralysis

- ❖ Regulatory ineffectiveness, inactivity, powerlessness, etc.
- Regulation carries the risk of paralyzing the industry should the strategic thrust of the regulatory agency become uncertain and remain so for any significant period of time.
- Not knowing who will be allowed to play in a new business or the terms of trade therein will deter investment decisions.



Regulatory paralysis

- Sometimes, industry players will find that they can serve their own interests by paralyzing regulation.
- The division of the regulatory function may, if poorly designed, lead to disagreements, power play and slow decision making.
- Opportunistic companies may find they can play regulatory jurisdictions against one another.



Skill requirements

- ❖ A national regulatory authority needs to have highly skilled personnel
- ❖ These include the following
 - Lawyers, Economists, Engineers, Administrators, Accountants, Statisticians, Market researchers, etc.
- ❖ Efforts must be made to retain highly trained personnel who are as competent as those in the industry.



Information Asymmetry: The Knowledge Gap

- ❖ All regulators face an enduring problem
 - the companies they are trying to regulate know much more about the business than they do
- ❖ But regulators have an advantage when facing the information asymmetry problem
 - the regulator has and must exercise discretion in applying rules and conditions, and in deciding what regulation is appropriate.
 - This gives it the power of the initiative.



Regulatory Capture

- ❖ The phenomenon of regulatory capture takes place when the regulator identifies itself too closely with, and so serves the interests of, the industry players.
- ❖ Causes of regulatory capture include
 - Information gap
 - Personal allegiances and career prospects
 - Intellectual factors: ‘self-inflicted’ capture
 - Political lobbying



Regulatory capture

- **Information gap**
- Regulation is in danger of capture should it depend too closely on the monopolist for the input of knowledge and data about the industry.
- The use, therefore, of external sources of knowledge and the development of co-regulation involving the monopolist's peers is essential.
- **Personal allegiances and career prospects**
- The risks of regulatory capture are magnified if



Regulatory capture

- ✓ the people at the regulatory agency have strong personal allegiances with those working for the monopolist
- ✓ if their ongoing career prospects depend on being well regarded in the industry
- **To control the first,**
 - ✓ develop a strong *esprit de corps* at the regulatory agency, and recruit people from a mix of backgrounds
- The second can be controlled by
 - ✓ having adequate career openings for regulatory people apart from within the industry or with its monopolist.



Regulatory capture

- **Intellectual factors: ‘self-inflicted’ capture**
- Regulators normally pride themselves on their logic, fairness and transparency in executing regulation.
- This can, however, lead to weakness should fear of ‘losing the argument’ engender timidity of action.



Regulatory capture

- **Political lobbying**
- The lobbying of a regulatory agency to ‘look after’ certain vested interests or to secure favored ‘outcomes’ will always be a problem for any regulatory regime.
- Transparent administration and separate accountability of regulation could be necessary antidotes.



Regulatory culture

- ❖ Like any organization, a regulatory agency will develop a culture.
- ❖ Examples of such include,
 - bureaucratic style
 - bargaining or diplomatic style
 - chaotic style
- ❖ Telecommunications regulators will need to cultivate a variety of working styles to face specific situations.



Assignment (GROUP)

- ❖ Is the regulator in your country truly independent of
 - government?
 - industry players?
- ❖ In your opinion, are some acts of intrusiveness on the part of the regulator in the affairs of telecommunication companies appropriate? (Give some examples of what you consider to be appropriate or inappropriate)



Licensing Telecommunications Services

- Introduction
- Licensing Objectives
- Scarce Resources

